MR-141

ESUE (II)-CCMBA (204)

Session: 2024-26

Full Marks : 70 **Time : 3.00 Hours**

Candidates are required to give their answer in their own words as far as practicable. Their figures in the margin indicate full marks. Answer from both the Groups as directed. Simple Calculators are allowed for the Examination. Mobiles or Cell phones are not allowed.

Group – A
(Compulsory)

1. Fill in the blanks with suitable words. **5**

(a) Capital budgeting techniques are DCF and ....

(b) WACC stands for ....

(c) Cost of debts is Denoted by .... cost of equity is .... and cost of Preference ....

2. What do you mean by working capital? **5**

Group – B

Answer any four of the following questions: **15×4=60**

3. Explain finance function?

4. Explain any one (01) of the capital structure theory.

(a) Net Income Approach

(b) Net Operating Income Approach

(c) Modigliani Miller Approach

5. Differentiate between operating leverage and financial leverage or combined leverage.

OR

A firm's details are as under :

Sales (@ 100 per unit)	₹24,00,000
Variable cost	50%
Fixed cost	₹10,00,000

It has borrowed ₹10,00,000 @ 10% p.a. and its equity share capital is ₹10,00,000 (₹100 each)

6. Explain the technique of capital budgeting?

OR

Calculate IRR :

Initial Investment = ₹ 60,000
Life of the Asset = 4 yrs.
Net annual cashflows for 4 years:
1st yr = ₹15,000, 2nd yr = ₹20,000
3rd yr = ₹30,000, 4th yr = ₹20,000
PV factor @ 10% - 0.909, 0.826, 0.751, 0.683
PV factor @ 14% - 0.877, 0.769, 0.674, 0.592
PV factor @ 15% - 0.869, 0.756, 0.657, 0.571

7. Explain the significance of cost of capital and components of capital?

OR

Using the following data, calculate WACC on (1) Book value basis and (2) Market value basis:

- Equity share of ₹100 each (Ke = 25%): 5,000 shares (MV ₹280/share)
- 8% preference share of ₹100 each (Kp = 8%): 5,000 shares (MV ₹105/share)
- Retained Earnings: ₹9,60,000
- 10% Debentures of ₹100 each: 10,000 Debentures (MV ₹102/debenture)

The effective post-tax cost of these debentures is 7.5%.

8. Briefly explain the financial goals?

9. Explain the types of working capital and what are different sources of working capital?

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